

## Negative Gearing & CGT Reforms – Tranche 2 Exposure Draft Legislation

On 4 August 2026, Treasury released for [consultation](#) exposure draft legislation and explanatory material for the *Treasury Laws Amendment (Tax Reform No.3) Bill 2026* in respect of Tranche 2 of the reforms to negative gearing and CGT.

As a recap, Tranche 1 of the reforms to negative gearing and CGT were enacted through the *Treasury Laws Amendment (Tax Reform No.1) Act 2026* and the *Income Tax Rates Amendment (Tax Reform No.1) Act 2026* on 26 June 2026. The measures applicable from 1 July 2027 include:

- Limit negative gearing for residential property investments to new builds (with residential properties owned before the 12 May 2026 budget announcement grandfathered).
- Replace the 50% CGT discount for individuals, trusts and partnerships with cost base indexation – applicable to all CGT assets including pre-CGT assets, other than new residential properties. Concessions are grandfathered for gains that accrue up to 30 June 2027.
- Introduce a 30% minimum tax rate on real capital gains accrued from 1 July 2027.

Under the consultation for *Treasury Laws Amendment (Tax Reform No.3) Bill 2026*, Treasury is seeking feedback on how the negative gearing and CGT reforms should apply in specific situations, including:

- Keeping current tax treatment when certain property transfers occur because of death or a relationship breakdown.
- Defining a “new residential dwelling”, for which owners can offset net rental losses against other income and continue to access the 50 per cent CGT discount.
- Exempting some affordable and social housing, NDIS housing, public housing and build-to-rent developments from the negative gearing changes.
- Keeping existing negative gearing and CGT treatment when first using an eligible main residence to produce assessable income.
- Excluding capital gains made by certain trusts and deceased estates from the minimum tax on capital gains.
- Setting out how to calculate capital gains made before and after 1 July 2027.
- Further clarifying how the CGT changes apply to trusts, including attribution managed investment trusts (AMITs).
- Ensuring the changes apply correctly to people who are Australian residents for only part of the time they own the relevant asset.
- Ensuring certain CGT events do not trigger tax earlier than intended for ‘deferred capital gains’.

Some key observations from the exposure draft legislation and explanatory materials are noted below:

- **Definition of a “new residential dwelling”** – broadly, covers a dwelling that (a) is built on vacant land; (b) increases dwelling numbers on a site (where the dwelling is legally capable of being acquired by another entity); (c) results from conversion of a non-residential building into housing; or (d) is acquired within 24 months of the first occupancy certificate being issued (extended from 12 months from original budget announcement to provide builders / developers time to sell).
- **Splitting gains between pre and post 1 July 2027** – taxpayers have two options to calculate cost base:
  - a) Obtain a formal valuation as at 1 July 2027 (though the materials released do not provide any substantive guidance on what constitutes a formal market valuation); or
  - b) For real property or assets that do not have a readily ascertainable value, use a time-based apportionment based on a daily compound growth assumption over the asset’s ownership period. This apportionment method assumes constant growth rate over time (which may not always be appropriate).
- **Unintended consequences addressed** – grandfathering concessions will be preserved where property ownership changes due to inheritance from a spouse or co-owner or due to a relationship breakdown.
- **AMITs** – proposed amendments seek to ensure that the new CGT rules apply to AMITs. The rules ensure that the impact of indexation is removed where the member would not have been entitled to use indexation if they had acquired and held the asset directly. In addition, the ‘unders and overs’ regime allows an AMIT to have an ‘under’ or ‘over’ for discount capital gains in a base year prior to 1 July 2027 that are discovered after 30 June 2027.
- **Trusts** – trustees can choose not to use indexation if no beneficiaries are entitled to the indexation (e.g. all beneficiaries / members are companies, complying superannuation funds or non-residents) or if the interest in CGT assets is held through a chain of trusts which is ultimately held by beneficiaries not entitled to use indexation.

- **CGT minimum tax exemption for testamentary trusts, deceased estates and special disability trusts** – this is consistent with the exemptions from the proposed 30% minimum tax on discretionary trust distributions.

Further tranches of legislation are expected to be released in the future, including in relation to the interaction of the new rules with CGT roll-overs and other concessions; the application of the rules to foreign, mixed and temporary residents; and the interaction of the new rules with employee share schemes.

Submissions to the exposure draft legislation and explanatory memorandum are due on 21 August 2026. Despite the complexity and wide-ranging impact of some of the changes, only a very short period has been allowed for submissions.

For completeness, the *Treasury Laws Amendment (Tax Reform No.2) Bill 2026*, which was recommended to be passed by the Senate Economics Legislation Committee on 13 August 2026, contains the government's measures to introduce a loss carry-back tax offset and to permanently increase the small business instant asset write-off threshold to \$20,000. This Bill does not contain any negative gearing and CGT reforms.

## Commissioner appeals decision in *Evolution Mining Ltd v FCT*

As highlighted in our previous Tax News & Insights, the Federal Court in *Evolution Mining Ltd v FC of T [2026] FCA 935* has found that a head company's choice in its 2014 income tax return to cancel the transfer of more than \$31 million of tax losses of a subsidiary that joined the tax consolidated group in 2012 was ineffective for the purposes of section 707-145 of the ITAA 1997. The Commissioner has appealed this decision to the Full Federal Court.

## New ATO Draft Ruling clarifies cross-border GST rules

The ATO has released draft Goods and Services Tax Ruling [GSTR 2026/D1](#) which updates its guidance on when overseas suppliers are required to charge Australian GST on services, digital products and other intangible supplies provided to Australian customers. The draft ruling is intended to replace the existing ruling issued in 2017. Importantly, the ATO has confirmed that its interpretation of the law has not changed. Instead, the draft ruling provides additional clarification and practical guidance.

A key issue in the ruling is whether the customer is an 'Australian consumer'. If they are, the overseas supplier may need to register for GST and charge Australian GST on its supplies. While the basic test to be an 'Australian consumer' continues to require the residency element (whereby the supply is made to an Australian resident) and the consumer element (whereby the consumer is not registered for GST or is registered but has not made the acquisition for their enterprise), the ATO has expanded its guidance on how suppliers can determine whether a customer is genuinely in business and acquiring the supply for enterprise purposes, rather than for private use.

Another matter of particular interest is the ATO's increased focus on evidence. The draft ruling confirms that suppliers may be able to rely on information provided by customers, such as an ABN and statements about GST registration, provided that they take reasonable steps and maintain appropriate records. The ruling also provides more detail on the operation of the existing 'safe harbour' rules that protect suppliers who have implemented robust verification processes.

While the ruling seeks to largely provide clarifications to existing law, it is a timely reminder for businesses involved in cross-border transactions to review their customer on-boarding processes, record-keeping procedures and GST classification decisions. This is particularly relevant for suppliers of software, digital services, consulting services and other online offerings provided to Australian customers. The ATO expects businesses to be able to demonstrate how they determined whether a customer was, or was not, an Australian consumer for GST purposes.

## Treasury starts Foreign Investment Conditions review

Federal Treasury will shortly be starting a public consultation relating to a review of conditions on existing foreign investment approvals, with the aim to further streamline and strengthen the foreign investment framework. The review may remove conditions that are ineffective, remove conditions that duplicate other obligations under other regulatory regimes, and update conditions to better manage risk. The review will first focus on tax conditions.

## Contact

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